



CIMA Management Case Study

Mock Exam 1

Flathall

Suggested Solutions

How to use Astranti Solutions

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This is so that when you review your own solutions against ours, you can see what you got right and what you got wrong. What you covered in enough depth and what you missed out.

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CIMA solutions

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Industry examples

You'll notice that we've included real world industry examples throughout the solutions. This is something you should be doing in your own solutions.

Examiners repeatedly emphasise the **importance of wider industry knowledge** and industry examples are the best way to earn the available marks in this area.

Task 1 - Solution

From: Financial Manager

To: Susanna Leong, Senior Financial Manager

Subject: Responsibility centres and funding

Hi Susanna,

The issue

In this report, I will discuss The possible implications of treating each building as a profit centre or investment centre and recommend reasons for which type of responsibility centre I think is the most suitable in light of the proposed restructuring. I will also discuss the characteristics of debt and equity via new share issues as potential sources of finance for the T\$400 million that the company would require to restructure these buildings.

Sub-task (a) - 50%: Responsibility centres

1ai - Responsibility centres

Responsibility centres

Responsibility centres are units or areas of the business where one manager is responsible for the centre's performance and budget. This calls for a higher level of decentralisation and delegating responsibilities to each building manager than we currently do.

Cost and revenue centres

Generally, responsibility centres are of four major types

Cost centres, like our PBSA buildings where the manager or the Chief Concierge is held responsible only for the costs of the building.

Revenue centre where the budget holder will be responsible for generating the maximum revenue possible. In the case of our rooms, as the prices charged by the different PBSA providers are more or less the same and the rooms are all filled up before the start of the academic year, classifying buildings as revenue centres would not have much impact in improving revenue generation efficiency.

Profit centre

A profit centre is a responsibility centre where the manager has autonomy over both costs and revenue. To date, we have offered only standard rooms but now that we would be

offering both basic and luxury options, and because in Towland, rents vary between cities based on local demand with rent in Capital City being 20% higher than the rent for similar accommodation in Central City, we could consider giving autonomy to the Chief Concierges of our buildings to fix rates for room as per the local demand. But, we need to be mindful of the fact that this level of decentralisation might lead to accusations of overcharging and could even damage our relationships with the student accommodation services at local institutions.

It is highly questionable whether the Chief Concierge, who though might be able to have a better knowledge about local price points, might charge rents for rooms which might be in line with the overall vision, mission and values of our company.

Investment centre

An investment centre is a responsibility centre that is responsible for both costs and revenues, as well as the investment in assets used to support the division.

The Chief Concierge of our buildings will therefore be responsible for supporting their units through sound asset disposals and acquisitions, as well as running a profitable operation.

Flatthall has a functional organisational structure and centralised control. Treating each PBSA as an investment centre could be viable if we are looking at a major change in our operational structure with a greater degree of decentralisation

Recommendation

Taking into account our current organisational structure, existing hierarchies and external market factors, I believe it would be advisable to continue to treat each building as a cost centre.

Chief Concierges could be consulted before setting budgets and determining the rent for rooms. They could also be consulted in to give their input and help implement cost savings measures. But the overall control and decision-making would rest with the Head Office.

The budget holder, the Chief Concierges in this case should be held responsible only for the areas that they can control. We can see that our current system of treating buildings as cost centres has managed to bring down operating expenses by 38% for the year ended 31st August 2023 as compared to the previous year.

In future, if we were to undergo expansion and organisational restructuring, we could then consider treating the buildings as profit or investment centres.

Sub-task (b) - 50%: Funding

1bi - Characteristics of debt

We borrowed an additional T\$600 million in 2023 and our outstanding loan balance as of 31st August 2023 was T\$ 2800. This translates to a gearing ratio (calculated as Debt/Equity) of around 38% an increase of around 7% over the previous accounting period.

Further borrowing would lead to a further increase in the gearing ratio resulting in greater financial risk. But, I want to bring to your notice the fact that during the same period, our competitor Duvett increased by around 14% to approximately 54% which indicates that they are highly geared compared to us. So even if we increase our gearing by a few points we would still be considered less riskier than our closest competitor in the market.

For a quoted, well-established company like ours, being a market leader in a growing market, it would be very easy and cheap to arrange for a loan from a bank or a consortium of banks. Debt finance can be arranged quickly with minimum cost. We can even negotiate favourable interest rates even lower than the current interest rate of 8%

Interest paid on bank loans might marginally reduce our tax payments too as the amount paid as interest for debt is allowable as a deduction for tax purposes and is normally a cheaper form of financing. We have a large operating profit and can easily cover the additional interest. The effective tax rate is 12% which means the effective cost of debt would be reduced by 12%

It is to be noted that the interest payments would need to be made before dividends are paid. If the proposed restructuring project turns out to be unsuccessful, we would still have to pay fixed interest rates, which would reduce not only the profit for future years but also reduce the amount available for distribution to equity shareholders.

But, I am sure we can easily pay the additional T\$32 million interest (assuming the current interest rate of 8%) as the restructuring of buildings will help generate increased revenue. It is to be noted that we have managed to retain and even slightly improve our interest cover at 0.67 times even though we paid an additional T\$48 million in interest during the financial year ending 31st August 2023.

One major drawback of debt financing is that the lender might require a mortgage on certain assets. Also, certain restrictive covenants like maintaining a minimum gearing ratio, maintaining a minimum current ratio, debt service coverage ratio, limiting dividend payments, and requiring regular financial reports could be imposed by the lender.

The lender might also require a mortgage and charge on our fixed assets. But, I do not think this would pose much of an issue as our property, plant and equipment is high at T\$9960.1

million which is almost thrice of our borrowings even after including the proposed borrowing of T\$ 400 million.

Despite the lenders imposing certain restrictions, our existing shareholders might approve of this finance as it would not affect their ownership.

1bii - Characteristics of equity

We could consider issuing new shares in Towland's stock market. As an old and established company (we were listed in the Towland stock exchange in 2002) and a market leader, I am sure we can easily raise funds via new share issues. Also, having a greater proportion of equity in our balance sheet would decrease our financial risk.

The major advantage of financing via issuing new shares is we need to repay the capital only in the event of winding up of our company. Also, having more equity will increase our financial strength and we can even gain access to a greater amount of debt funds in the near and distant future.

The key disadvantage is the shareholders would have voting rights and would expect to be paid high dividends and capital growth because from the perspective of a shareholder, ordinary shares are the most risky of all types of investment and due to this, equity investors would require a high return on their investment in the company to cover the risks involved. This would lead to an increase in our WACC too.

For the financial year 2023, we paid out 37% of our profits as dividends. Our shareholders would expect us to maintain this payout and possibly increase the payout ratio in future.

Existing shareholders, might not be happy with raising funds by issuing shares as their share of ownership might get diluted due to the new share issues. Also, there could be a possible dilution in the earnings per share in future.

Also, issuing new shares in the stock exchange is a lengthy and costly process for which we need to hire external experts.

Conclusion

Each form of financing has its own benefits and drawbacks. We must carefully consider the nature of this acquisition and our medium and long-term funding requirements before we enter into a decision.

Based on the available information at this juncture, I would recommend we finance this investment with a bank loan as not only can it be arranged cheaply and quickly, but we are in a position to negotiate terms favourable to us.

Regards,
FM

Task 2 - Solution

From: Financial Manager

To: Susanna Leong, Senior Financial Manager

Subject: Project operational risks and Integrated Reporting

Hi Susanna,

The issue

In this report, I will discuss the key operational risks that could arise in design, obtaining permits and preparing content for marketing stages of the restructuring project implementation and recommend responses. I will also evaluate the CEO's belief that it would be helpful to prepare and present reports on IR Capitals, especially Intellectual, Human, Social and Relationship Capitals.

Sub-task (a) - 60%: Operational risks in restructuring project

2a - Operational risk in certain project activities

Critical path analysis

Critical Path Analysis can help provide a clear plan and support time-based control by **defining key activities and their duration and sequencing them appropriately.**

In the given chart, we can clearly see the sequence and duration of the activities. In each circle, the left-hand segment denotes the event number, the top right segment denotes the earliest event time which from the given project details appears to be in days, and the right-hand bottom segment gives the latest event time in days. The arrows denote the sequence and dependence of activities.

The difference between the earliest event time and the latest event time is called slack or float. This is the spare time available for the completion of that particular activity. Activities with zero slack are the critical activities which help us map the critical path. These are key activities, which, as there is no slack, will be a key focus for the project manager who will monitor them closely and use their best staff to ensure they are not delayed. If any of these activities are delayed, the whole project will be delayed. So here, the critical path is through event number 1, 2, 3, 4, 6 and 7. Activity 5 is non-critical. There is a slack of 51 days for this activity.

First, let us take a look at the possible operational risks that could arise in the course of the design, obtaining permits and preparing content for marketing activities and my suggested responses to manage such risks

Design and obtaining permits

Possible risks

These two activities are critical and there is no slack available for them. The design team might not come up with appropriate designs for restructuring within the given deadlines. Also, the designs might not be approved by national and local bodies which might mean that they would have to be re-worked and resubmitted. This process might take considerable time and cause delays.

Also, the design team might not be adequately staffed with people of the required expertise and experience.

Response

We first need to consider whether this issue is factored into the design and approval timelines in the given chart. If not, this activity would need to be included too. Also, as a pre-emptive measure, it might be good that architects and legal teams are also involved in the design process so that approvals by authorities are easily obtained.

Before the start of this project, we should reassess the skills and competencies of our design team, identify skill and resource gaps, make provisions for training if needed and hire the required talent. If our SMT proposes to outsource the design process a suitable consultant must be identified and terms finalised well before the start of the project.

Marketing

This is a non-critical activity for which there is time till the buildings are complete and ready for occupation.

Risk 1

There is a risk that the marketing does not reach the intended audience - students looking for basic rooms and luxury rooms leading to rooms being unoccupied resulting in loss of revenue.

Response 1

Until now, all our rooms were more or less the same. But now, with the provision of three types of rooms, the marketing plan must ensure the identification of the correct customer base and clear communication with them.

Risk 2

One major risk is a delay in restructuring and inspections. Though the marketing plans can be prepared beforehand, photographs, videos and virtual tours of the restructured buildings can be uploaded only after the restructuring has taken place. If after the inspection, there is a significant change in particular aspects of the building, appropriate changes should be made to the website too.

Response 2

The IT and customer teams must work together to generate interest in our new room offerings and make changes to the website as and when needed so that the customer has the latest, updated information available before making a decision.

Sub-task (b) - 40%: Integrated Reporting

2bi - Integrated reporting

An integrated report is defined by the IIRC as: "a concise communication about how an organisation's strategy, governance, performance and prospects, in the context of its external environment, lead to the creation of value over the short, medium and long term."

Our CEO is right in thinking of presenting integrated reports as the IIRC (The International Integrated Reporting Council) wants integrated thinking embedded within normal business practice in the public and private sectors.

There are three fundamental concepts of integrated reporting: the capitals, the value creation process, and value creation.

Resources that are used and affected by the company are referred to as capital. The capitals are stores of value that are increased, decreased or transformed through the various activities and outputs of the company.

These are identified in the <IR> Framework as financial, manufactured, intellectual, human, social and relationship, and natural capital. For example, our company's financial capital is increased when we make a profit, and the quality of our human capital is improved when our employees become better trained.

Intellectual capital

Intellectual capital includes all knowledge-based intangibles. Knowledge-based intangibles are anything non-physical and intellectual which is owned by the company.

Intellectual capital will include intellectual property such as patents, copyrights, software, rights and licences. It may also be “organisational capital” such as tacit knowledge, systems, procedures and protocols.

We might own certain blueprints and designs. Our brand name and logo might carry a reputation which helps create value.

We have T\$270.3 million worth of intangible assets on our balance sheet. A detailed breakup of this figure could be a starting point in determining our intellectual capital.

Human capital

Human capital lies in the people working for the organisation including their skills and competencies, knowledge, and experience.

From our cleaning staff and building concierges to our directors and CEO, each role is important in providing value to our customers. We could present details on staff induction and training and other steps taken to ensure our customer-facing staff like concierges reflect the values and ethos of our company.

We could also report on the programs sponsored for training managers and the importance of continuing professional education. For instance, we could report on special workshops and training conducted for our architects and designers.

Social and relationship capital

Relationships have value: for example, a customer who continually returns to the company to buy their products, a loyal member of staff or an excellent supplier relationship that ensures priority service. Social and relationship capital arises from relationships cultivated and maintained with various stakeholders and also the ability to create collective well-being.

For instance, we have cultivated good relationships with architects and lawyers who are experienced in designing buildings and obtaining permissions for construction on sensitive sites.

Our customer service staff maintain good working relationships with the head of student accommodation services in institutions and ensures complaints raised by students are resolved at the earliest.

Our company has good relationship with the students that freshers' fairs at institutions are staffed by students who have previously rented rooms from us. They are paid a generous hourly rate for this.

Also, we pay a commission to students who bring in other students. We aim to maintain an excellent relationship with students to encourage repeat bookings and maintain a positive reputation. A large proportion of our student residents return to us in subsequent years of study and recommend us to friends.

All of the above could be presented in the integrated report as non-financial information under the head social and relationship capital.

Regards,
FM

Task 3 - Solution

From: Financial Manager

To: Susanna Leong, Senior Financial Manager

Subject: Employee motivation and Business model impact

Hi Susanna,

The issue

In this report, I will recommend with reasons the measures that could be taken to ensure the design team's engagement with this project. I will also provide an evaluation of the impact of the new room options on our existing business model.

Sub-task (a) - 40%: Employee motivation

3ai - Greater engagement of the design team in the restructuring project

The issue

It appears from the executive summary the design team is under a lot of pressure to deliver designs for the restructuring project but is not able to do so for various reasons leading to demotivation, disengagement and even two resignations.

Clear brief

Instead of the design team simply coming up with designs and getting rejected by one or the other parties, it would be more effective if the architects, civil engineers, interior decorators, and legal consultants were hands-on involved in the design stage and give a detailed and clear brief of what exactly is expected from designers.

The precise nature of the proposed structural modifications for each of the 55 buildings should be decided with clarity by the team. Also, the design team must be briefed in detail about the health, safety and other legal requirements that should be adhered to.

Allocation of responsibilities

The Head of Design should allocate specific design duties to members of his team based on their skill and aptitude. It is up to the Head of the Design team to ensure that there is the correct mix of skills and competencies within the team to meet the project requirements.

Motivation issues

We should investigate the possibility that designers are unenthusiastic about this project as they believe that showing interest in this restructuring project might lead to additional responsibilities being allocated to them. Perhaps offering a bonus on completion of the project and the prospects of being prioritised for future promotions might help employee motivation.

Staffing issues

Already there have been two resignations and it appears that as a project of this nature has never been undertaken before there is a lack of expertise and experience among the designers. As time is very crucial in this project, I do not believe we have sufficient time to hire new staff and train existing staff. It would be a better idea to quickly identify a design consultancy and work along with them to make use of their expertise.

Complete outsourcing

We could also consider asking the design team whether they would prefer that designing for this restructuring project be completely outsourced to an external consultancy. This might push them to do their best for this project if the designs for this project were completely outsourced, it would reflect badly as it would not only imply a lack of confidence in the design department as they would perceive it as a threat to their jobs.

On the other hand, if the design team agrees to it, then we could outsource designing for this project to an external expert and gradually consider downsizing our design team.

Sub-task (b) - 60%: Business model

3bi - Impact of the proposed restructuring on the company's business model

Our company aims to grow steadily through the acquisition of new buildings that will enable it to remain the market leader in PBSA in Towland. This project, which would restructure 55 buildings to provide basic, standard and luxury accommodation, would be more of a gradual evolutionary step rather than a radical departure from our fundamental business model.

Flatthall aims to grow steadily through the acquisition of new buildings that will enable it to remain the market leader in PBSA in Towland. A commitment to quality enables Flatthall to maintain a strong brand that attracts students and enables the company to develop relationships with academic institutions.

Defining value

The new restructuring project is in line with our definition of the value of purpose-built, safe and attractive accommodation for students. The basic rooms will be attractive to students who are not comfortable with the services of private rentals and who are not able to secure a place in the halls of residence but at the same time, do not have a high budget. The luxury rooms would be attractive to students who can afford them and are looking for a place to study in greater comfort. Ultimately the restructuring project would enable the students who rent from us to study in a relaxed environment.

Creating value

The restructuring project helps create value by identifying 55 buildings in locations where there is unmet demand for basic and luxury accommodation. Though the sites would not change, our considerable experience in the construction of good-quality buildings would help us restructure these 55 buildings to take proactive action in meeting student demand. Our attention to detail especially in decorating interiors is one of the factors that help us compete with rival PBSA providers and this restructuring project is in line with our model of creating value.

Delivering value

Our commercial success is underpinned by strong relationships that we have built over the years with architects, lawyers, universities, students, government authorities and local councils. The restructuring project will deliver value by ensuring the students get the right accommodation for their needs and within their budgets in the case of basic rooms and ensure that students get additional facilities like en-suite bathrooms for the luxury rooms which justifies the additional rent charged.

Our strong brand will attract students and our commitment to quality reflected in the restructuring of room proportions, design and facilities would help satisfy the needs of the consumer who would not only want to return to us but also recommend us to their friends.

Capturing residual value

Ultimately students choose PBSA over private rentals as they are provided with all the facilities they require to support their studies and social activities. This restructuring project would not impact the existing systems of common laundry, safety measures like key cards, availability and access to common areas like terraces, lounges, and TV/theatre rooms.

Regards,
FM

Task 4 - Solution

From: Financial Manager

To: Susanna Leong, Senior Financial Manager

Subject: Project Constraints and Negotiation

Hi Susanna,

The issue

In this report, I will explain how project constraints of time, cost and quality would impact the completion of the restructuring project. I will also discuss the stages of negotiation with the local council of city X and recommend whether it might be more judicious to adopt a win-lose approach and drop out of negotiations altogether.

Sub-task (a) - 50%: Project constraints

4ai - Impact of project constraints - time, cost and quality

Time

In this restructuring, time is of great importance as not only do the new rooms have to be ready for the academic year, the standard rooms would also have to be cleaned and its interiors redecorated so that they are fresh and inviting for our students.

If there is a delay in this project and buildings are not ready, we will face a substantial loss in revenues. It would also damage our brand reputation and the relationships that we have built over the years.

For this project, I would recommend we bear the additional costs so incurred if we could meet the deadlines without compromising on quality. Revenue loss is a high-risk event for us and we must take all possible steps to maintain our revenue position. We have obtained the funding and could perhaps negotiate for an additional loan to meet the escalation in costs.

For instance, we could look at paying over and above the minimum wage to the labourers. Also, if we could cancel the overseas order for building materials and buy them locally, even at higher prices, we could do that to ensure the project is completed on time. The financial repercussions of such decisions should be analysed and necessary approvals given by our SMT at the earliest.

Quality

Our attention to detail is a key factor that enables us to compete with rival PBSA providers. Quality is a key factor if this project is to be a success. We should ensure that the procurement issues do not lead to a compromise in quality. For instance, even if we are willing to pay over the minimum wage, that by itself would not ensure the quality of workers, especially unskilled construction workers. Adequate supervision, and checks and balances should be put in place to ensure the work is completed to the highest quality.

Similarly, whether the building materials are obtained locally or from overseas the procurement team should ensure that the quality parameters are stringently adhered to.

Also, in our applications to obtain permits, we would have submitted all specifications in detail from the purpose to the colour of the window frames. Any deviation from submission would lead to severe penalties unless permission is granted.

For this project, strict adherence to quality is as paramount as completion within deadlines.

Cost

We would have started this project with a clear budget. But, during the project, as certain costs have risen, we might need to revise the budgets accordingly. Also cost monitoring and cost control should then be applied throughout the project, including the use of variance analysis, to ensure costs remain within expectations and the project team is not carried away by excessive focus on quality and meeting deadlines. Though we might have access to additional funds from internal and external sources, we must be aware of the risk of underestimating the project costs which lead to a loss of £183 m for Multiplex while building the Wembley arch.

Sub-task (b) - 50%: Stages in negotiation

4bi -Stages in negotiation

Usually, any negotiation process involves the following four stages

Preparation

This is the stage where we will be prepared for our position, our arguments and how to present them. Now that we have identified that the concern is noise and possible roadblocks due to our restructuring project, we should be prepared on how we are going to address the concerns raised.

To do this, we might need to undertake research into possible alternative solutions, and workaround tactics that might help overcome the issues. We could also look up similar cases, if any, in the same or even different locality and understand how they have been resolved.

Opening phase

In this phase, both parties, our company and the local council would present the starting points. We would want the restructuring project to proceed whereas the council would refuse to grant permission.

Bargaining

In this phase, both parties would aim to narrow the gap between the initial positions. This is the phase our preparation would be put to use. We could also use the expertise of our architects and legal team who have worked with sensitive sites and see if we can come up with mutually acceptable solutions.

Closing phase

This is the final stage in negotiation where an agreement is reached. From the facts of this case, it does not seem a 'win-win' conclusion, where both our company and the council feel that they have got a good deal could be achieved.

4bii - Recommendation

Negotiations are needed when there is a conflict of interest between two or more parties and who prefer to search for an agreement in a scenario where there is no established way of resolving the conflict.

In this case, though it is promising that the council members of City X have come for negotiations and shown the effectiveness of our liaison team, I believe that if there is no way that we can satisfy not only the legal requirements but also our ethical and moral obligations obtain a permit to undertake restructuring activities within the vicinity of a hospital, we could take a moral stance and withdraw from negotiations.

We could turn this to our advantage and angle it in such a way that it enhances our reputation for uncompromising ethics. It is to be noted that for this particular building, there will be no loss of revenues from existing standard rooms as we could still market and fill those rooms. The additional projected revenue from this building would be the opportunity cost of the decision to drop out of negotiations.

Marking Matrix

Task	Topic	Core activity	%	Marks	Total
1a	Responsibility Centres	C	50	12	25
1b	Characteristics of Debt and Equity	B	50	13	
2a	Operational risks of new project	D	60	15	25
2b	Integrated Reporting	E	40	10	
3a	Employee motivation	C	40	10	25
3b	Business model	A	60	15	
4a	Project constraints	B	50	12	25
4b	Negotiation	E	50	13	
					100

Marking guidance

Task 1		
(a)	C. Manage performance and costs to aid value creation	50%
(b)	B. Implement senior management decisions	50%

C. Manage performance and costs to aid value creation (12 marks)		50%
1ai - Discussing the possible implications of treating each building as a profit centre or investment centre and recommend, giving reasons for which type of responsibility centre is the most suitable in the light of the proposed restructuring.		12 marks
	No rewardable material	0
Level 1	Little or no rewardable material here. Very poor understanding and application demonstrated	1-4
Level 2	Some understanding demonstrated of implications of treating each building as profit or investment centre. Technical clarity, accuracy and/or application to scenario might be lacking. Recommendations not clear or detailed enough.	5-8
Level 3	Very good understanding demonstrated of implications of treating each building as profit or investment centre with clear, accurate explanations and detailed application to the given scenario. Recommendations clear and justified.	9-12

B. Implement senior management decisions (13 marks)		50%
1bi - Discussion of the characteristics of debt as potential sources of finance for the T\$400 million that the company would require to restructure the 55 buildings		6 marks
	No rewardable material	0
Level 1	Little or no rewardable material here. Very poor understanding and application demonstrated	1-2
Level 2	Some understanding demonstrated of characteristics of debt. Technical clarity, accuracy and/or application to scenario might be lacking	3-4
Level 3	Very good understanding demonstrated of characteristics of debt with clear, accurate explanations and detailed application to the given scenario.	5-6
1bii - Discussion of the characteristics of equity as in new share issues as potential sources of finance for the T\$400 million that the company would require to restructure the 55 buildings		7 marks
	No rewardable material	0
Level 1	Little or no rewardable material here. Very poor understanding and application demonstrated	1-3
Level 2	Some understanding demonstrated of characteristics of equity (new share issues). Technical clarity, accuracy and/or application to scenario might be lacking	4-5

Level 3	Very good understanding demonstrated of characteristics of equity (new share issues) with clear, accurate explanations and detailed application to the given scenario.	6-7
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Task 2		
(a)	D. Measure performance	60%
(b)	E. Manage internal and external stakeholders	40%

D. Measure performance (15 marks)		60%
2ai - Identification of operational risk in design and obtaining permits and marketing activities		7 marks
	No rewardable material	0
Level 1	Little or no rewardable material here. Very poor understanding and application demonstrated	1-2
Level 2	Some understanding demonstrated of the operational risks of the specific project activities. Technical clarity, accuracy and/or application to scenario might be lacking	3-4
Level 3	Very good understanding demonstrated of the operational risks of the specific project activities with clear, accurate explanations and detailed application to the given scenario.	5-7
2aii - Recommendation of responses to risks identified in design, obtaining permits and the marketing activities		8 marks
	No rewardable material	0

Level 1	Little or no rewardable material here. Very poor understanding and application demonstrated	1-3
Level 2	Some understanding demonstrated of issues and an attempt is made at giving some recommendations. Technical clarity, accuracy and/or application to scenario might be lacking	4-6
Level 3	Very good understanding demonstrated of the issues and valid recommendations given with clear, accurate explanations and detailed application to the given scenario.	7-8

E. Manage internal and external stakeholders (10 marks)		40%
2bi - Evaluate the CEO's belief that it would be helpful to prepare and present reports on IR Capitals , especially Intellectual, Human, Social and Relationship Capitals.		10 marks
	No rewardable material	0
Level 1	Little or no rewardable material here. Very poor understanding and application demonstrated	1-3
Level 2	Some understanding demonstrated of usefulness of presenting information on integrated capitals. Technical clarity, accuracy and/or application to the scenario might be lacking.	4-7
Level 3	Very good understanding demonstrated of presenting information on integrated capitals with clear, accurate explanations and detailed application to the given scenario.	8-10

Task 3		
(a)	C. Manage performance and costs to aid value creation	40%
(b)	A. Evaluate opportunities to add value	60%

C. Manage performance and costs to aid value creation (10 marks)		40%
3ai - Recommending with reasons the measures that could be taken to ensure the design team's engagement with this project.		10 marks
	No rewardable material	0
Level 1	Little or no rewardable material here. Very poor understanding and application demonstrated	1-3
Level 2	Some understanding demonstrated of the measures that could be taken to improve the engagement of the design team with the restructuring project. Technical clarity, accuracy and/or application to scenario might be lacking	4-7
Level 3	Very good understanding demonstrated of the measures that could be taken to improve the engagement of the design team with the restructuring project with clear, accurate explanations and detailed application to the given scenario.	8-10

A. Evaluate opportunities to add value (15 marks)		60%
3bi - Evaluation of the impact of the new restructuring project on the defining and creating value aspects of the business model.		7 marks
	No rewardable material	0
Level 1	Little or no rewardable material here. Very poor understanding and application demonstrated	1-2
Level 2	Some understanding demonstrated of impact of the new restructuring project on the defining and creating value aspects of the business model. Technical clarity, accuracy and/or application to scenario might be lacking	3-4
Level 3	Very good understanding demonstrated of the impact of the new restructuring project on the defining and creating value aspects of the business model with clear, accurate explanations and detailed application to the given scenario.	5-7
3bii - Evaluation of the impact of the new restructuring project on the delivering value and capturing residual value aspects of the business model.		8 marks
	No rewardable material	0
Level 1	Little or no rewardable material here. Very poor understanding and application demonstrated	1-3
Level 2	Some understanding demonstrated of the impact of the new restructuring project on the delivering value and capturing residual value aspects of the business model. Technical clarity, accuracy and/or application to scenario might be lacking	4-6

Level 3	Very good understanding demonstrated of the impact of the new restructuring project on the delivering value and capturing residual value aspects of the business model with clear, accurate explanations and detailed application to the given scenario.	7-8
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Task 4		
(a)	B. Implement senior management decisions	50%
(b)	E. Manage internal and external stakeholders	50%

B. Implement senior management decisions (12 marks)		50%
4ai - Explanation how project constraints of time, cost and quality would impact the completion of the restructuring project		12 marks
	No rewardable material	0
Level 1	Little or no rewardable material here. Very poor understanding and application demonstrated	1-4
Level 2	Some understanding demonstrated of how project constraints of time, cost and quality would impact the completion of the restructuring project . Technical clarity, accuracy and/or application to scenario might be lacking	5-8
Level 3	Very good understanding demonstrated of how project constraints of time, cost and quality would impact the completion of the restructuring project with clear, accurate explanations and detailed application to the given scenario.	9-12

E. Manage internal and external stakeholders (13 marks)		50%
4bi - Stages in negotiation		8 marks
	No rewardable material	0
Level 1	Little or no rewardable material here. Very poor understanding and application demonstrated	1-3
Level 2	Some understanding demonstrated of the stages in negotiation. Technical clarity, accuracy and/or application to scenario might be lacking	3-6
Level 3	Very good understanding demonstrated of the stages in negotiation with clear, accurate explanations and detailed application to the given scenario.	7-8
4bii - Recommendation		5 marks
	No rewardable material	0
Level 1	Little or no rewardable material here. Very poor understanding and application demonstrated	1-2
Level 2	Some understanding demonstrated of the issue and an attempt is made at a clear recommendation. Technical clarity, accuracy, justification and/or application to scenario might be lacking.	3-4
Level 3	Very good understanding demonstrated of the issue and a clear recommendation is made with accurate explanations, justification and detailed application to the given scenario.	5